

is shown on the left side of the bar. A single bar like the one below represents one day of trading.

EXPLAINS 'BAR CHART'

These are the most popular type of chart used in technical analysis. The visual representation of price activity over a given period of time is used to spot trends and patterns.

DEFINITION OF 'ACCUMULATION/DISTRIBUTION'

An indicator that tracks the relationship between volume and price. It is often considered a leading indicator because it shows when a stock is being accumulated or distributed, foreshadowing major price moves. When the Accumulation/Distribution line is moving in the same direction as the price trend, it confirms the trend. When the Accumulation/Distribution line is moving in the opposite direction of the price trend, it indicates the price trend may not be sustainable. The indicator has a three step calculation:

1. Money Flow Multiplier = $[(\text{close} - \text{low}) - (\text{high} - \text{close})] / (\text{high} - \text{low})$

2. Money Flow Volume = Money Flow Multiplier x volume for the period